



State Bank of India  
With you - all the way

Pure Banking.  
Nothing else.

You can take a loan from the account in the third year or make partial withdrawals after the sixth year. The loan can be up to 25% of the balance in the account and has to be repaid in not more than 36 EMIs. Partial withdrawals are allowed in the seventh year. You can withdraw up to 50% of the balance in the account that was present three years previously or in the previous year, whichever is lower.

### C). Five-Year Bank FD's and National Savings Certificates

Returns: 7-8% per annum

**Maximum deduction: Rs 1 lakh**

Income: Taxable at marginal rate

Best suited for: Risk-averse investors who don't want to go in for long-term options, senior citizens and those in low tax bracket.

National Savings Certificates and bank fixed deposits offer lower returns than the PPF but the lock in is also shorter. However, the interest earned is taxable, which makes them rather unattractive for those in the highest tax slab of 30%. NSCs and fixed deposits are suitable for retired taxpayers and those with an income of less than Rs 3 lakh a year. At that income level, the tax rate is only 10% (plus 3% cess), which still leaves a lot on the table for the investor.

### D). Senior Citizen's Saving Scheme

Returns: 9% per annum

**Maximum deduction: Rs 1 lakh**

Income: Taxable at marginal rate

Best suited for: Retirees looking for regular stream of income

This assured return scheme floated by the government is a godsend for retired people. The income received is fully taxable but senior citizens also enjoy a higher exemption of Rs 2.4 lakh. Also, the returns are higher than the prevailing rate offered by bank FDs. The only glitch: the scheme considers an individual a senior citizen when he turns 60 but the taxman waits for another five years before extending him the benefit of a lower tax rate. Also, there is a Rs 15 lakh limit on the deposit made by an individual.

**SBI Internet Banking customers (Individuals/ Corporates) can pay Advance Tax online.**

**SBI e-Tax**

Safe, convenient, anywhere, anytime Tax Payment facility.  
Easy, simple, hassle free, 24x7.

From 01.04.2008, e-payment of Direct Taxes is mandatory for all corporates and all assesseees (other than company) to whom provisions of section 44 AB of Income Tax Act, 1961 are applicable.

For more information, welcome to [www.onlinesbi.com](http://www.onlinesbi.com)  
or email at [etax@sbi.co.in](mailto:etax@sbi.co.in) or call (Toll-free) 1800 112211

Quoting PAN/ TAN on Challans is mandatory.